

TENTATIVE RULINGS FOR DEPT. S36 6/25/26

BEFORE THE HONORABLE JOSEPH WIDMAN

PLEASE NOTE: There may be multiple tentative rulings so view the entire document.

ATTENTION: Commencing December 10, 2022, the Court will no longer regularly provide an official Court Reporter to transcribe proceedings in this Department. Parties who wish to have an official record of the proceedings in addition to a minute order must retain a private Certified Shorthand Reporter for the hearing and must submit a “Stipulation and Order For Appointment of Official Reporter Pro Tempore” to the court in the form found on the Court’s website. If counsel are appearing for the hearing remotely, the Stipulation can be emailed to the Judicial Assistant for Department S-36 at kkosmatka@sb-court.org. The Court may sign the Order appointing the Certified Shorthand Reporter as the official Court Reporter Pro Tempore. Parties who do not retain a Certified Shorthand Reporter to be designated as an official Court Reporter Pro Tempore are deemed to have waived an official Court Reporter for the proceeding.

REFER TO THE GENERAL ORDERS AND FORMS POSTED ON THE COURT’S WEBSITE.

This Court follows California Rules of Court, rule 3.1308(b) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings are posted on the court’s website after 3:00 p.m. the day before the hearing at [Tentative Rulings | Superior Court of California | County of San Bernardino](#)

You may appear by remote appearance at the hearing. (<https://www.zoomgov.com/my/dept.s36>)

You must appear at the hearing, unless ordered otherwise, prepared to address the issues set forth by the court in its ruling.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF RULING

SUPERIOR COURT OF THE STATE OF CALIFORNIA
FOR THE COUNTY OF SAN BERNARDINO

CHENG YUAN LU,

Plaintiff,

v.

XIFAN TU, et al.,

Defendants.

Case No.: CIVSB2518789

**[TENTATIVE] ORDER
SUSTAINING DEMURRER TO
DEFENDANTS' CROSS
COMPLAINT, FILED BY
PLAINTIFF, WITH LEAVE TO
AMEND**

I. INTRODUCTION

Motion: Demurrer to Cross-Complaint

This case concerns a corporate dispute. On June 30, 2025, Plaintiff Cheng Yuan Lu filed a Complaint against Defendants Xifan Tu, Jiansu Liu, and Frank Zheng aka Weifang Zheng, alleging a single cause of action for Breach of Fiduciary Duty.

Plaintiff alleges that US Skywater Inc. ("Company") was a California corporation incorporated around January 3, 2020 and was subsequently dissolved on September 30, 2021. Plaintiff was a 25% shareholder of the Company and Defendants were officers and/or directors

of the Company. Before its dissolution, the Company's general business was to cultivate and sell marijuana. (Compl. ¶¶ 8-12.)

On March 9, 2020, the City of Adelanto ("City") issued a one-year Medical Marijuana Cultivation permit (MCC 18-16) ("Cultivation Permit") to the Company, which expired on March 9, 2021. However, Defendants failed to renew the lapsed Cultivation Permit and took at least 50 bags of the Company's cultivated marijuana weighing at least 50 pounds, to sell and dispose of for Defendants' own personal benefit. Plaintiff alleges that due to Defendants' failure to renew the Cultivation Permit, in or around September 23, 2021, the City ordered the Company to immediately cease business operations and shut down. Subsequently, the City sealed the doors of the Company and disconnected the Company's power and water to compel and ensure the Company's shutdown. As such, Plaintiff alleges that the Company's shutdown was caused by Defendants' negligence. (Compl. ¶¶ 13-15, 18-21.)

On December 30, 2025, Defendant Liu filed a Cross-Complaint against Plaintiff and the Company, alleging the following causes of action:

- (1) Involuntary Dissolution, against the Company;
- (2) Fraud, against Plaintiff;
- (3) Negligent Misrepresentation, against Plaintiff;
- (4) Fraud, against Plaintiff;
- (5) Breach of Fiduciary Duty, against Plaintiff;
- (6) Declaratory Relief, against Plaintiff; and
- (7) Unjust Enrichment, against all.

Defendant Liu alleges that he invested in and contributed \$150,000.00 to the Company during its inception and is one of the shareholders. The Company had its principal place of

business located at 10150 Apache Road in the City of Adelanto (“Subject Property”) and shareholder investment funds were used to pay for construction work and all necessary equipment, including fixtures, air conditioners, fire safety system, surveillance systems. (Cross-Compl. ¶¶ 9-10.)

Defendant Liu alleges that Plaintiff served as CEO of the Company during two separate terms. Prior to his first term, Plaintiff represented to all shareholders and the Board of Directors that he could and would obtain a California state cannabis license for the Company. Plaintiff also served his second term as CEO after conducting a corporate coup d’état in August 2021. However, during both of his terms as the CEO, Plaintiff failed to obtain a California state cannabis license for the Company, resulting in the shutdown of the Company. Furthermore, Plaintiff closed the Company without the approval of the shareholders or the Board of Directors. After the Company was closed, all shareholders invested funds in the Company were not properly accounted for. The Company’s inventory and equipment, including but not limited to fixtures, air conditioners, fire safety system, and surveillance systems installed on the Subject Property, went missing. (Cross-Compl. ¶¶ 11-19.)

On March 4, 2026, Plaintiff filed a general demurrer to the first through fifth causes of action asserted in the Cross-Complaint. On April 20, 2026, Defendant Liu filed an opposition. No reply has been filed. After issuing a tentative ruling and holding a hearing on the motion, the Court now issues its final ruling.¹

¹ The Court finds that the moving party has complied with its meet-and-confer obligation.

II. EXPLANATION OF THE COURT'S RULING

A. First Cause of Action – Involuntary Dissolution

Corporations Code section 1800, subdivision (a), provides that “a verified complaint for involuntary dissolution of a corporation” on the grounds defined in subsection (b) may be filed in the superior court by a shareholder who holds shares representing not less than 33 1/3 percent of the total number of outstanding shares, the outstanding common shares, or the equity of the corporation. (Corp. Code, § 1800, subd. (a).)

Plaintiff argues that Defendant Liu’s involuntary dissolution claim is improperly pled because the Cross-Complaint is not verified in accordance with Corporations Code section 1800, subdivision (a), and because Defendant Liu is impermissibly seeking to “re-dissolve” the Company as the Company has already been formally dissolved.

In opposition, Defendant Liu does not address the Plaintiff’s lack of verification argument but points out that his claim for involuntary dissolution encompasses Corporations Code sections 1800 through 1809. Defendant Liu argues that a dissolved corporation continues to exist after dissolution for the purpose of winding up its affairs (*see* Corp. Code, § 2010, subd. (a)), and as such, the allegations that Plaintiff shut down the Company without shareholder approval and failed to properly account for corporate assets (Cross-Compl. ¶¶ 18-19), are subject to the Court’s review under Corporations Code sections 1800 through 1809.

Because the Cross-Complaint is undisputedly unverified, the Court SUSTAINS Plaintiff’s demurrer to the First Cause of Action for Involuntary Dissolution, with leave to amend.

B. Second, Third, and Fourth Causes of Action – Fraud/Negligent Misrepresentation

The elements of fraud are (1) the defendant made a false representation as to a past or existing material fact; (2) the defendant knew the representation was false at the time it was made; (3) in making the representation, the defendant intended to deceive the plaintiff; (4) the plaintiff justifiably relied on the representation; and (5) the plaintiff suffered resulting damages. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 (*Lazar*)). The elements of negligent misrepresentation are the same except for the second element, which for negligent misrepresentation is the defendant made the representation without reasonable ground for believing it to be true. (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 792.)

In California, fraud must be pleaded with specificity rather than with “general and conclusory allegations.” (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.) The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made. (*Lazar, supra*, 12 Cal.4th at p. 645.)

Courts enforce the specificity requirement in consideration of its two purposes. The first purpose is to give notice to the defendant with sufficiently definite charges that the defendant can meet them. (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 793.) The second is to permit a court to weed out meritless fraud claims on the basis of the pleadings; thus, “the pleading should be sufficient ““to enable the court to determine whether, on the facts pleaded, there is any foundation, prima facie at least, for the charge of fraud.””” (*Ibid.*)

Plaintiff argues that Defendant Liu's Fraud and Negligent Misrepresentation claims are insufficiently pled.

First, regarding Plaintiff's first count for fraud and negligent misrepresentation in the Second and Third Causes of Action, Plaintiff points out that although Defendant Liu has identified a specific misrepresentation consisting of Plaintiff's representation that he "could and would obtain a California state cannabis license for the Company" (*see* Cross-Compl. ¶¶ 13, 27), Defendant Liu does not specifically identify how, when, where, to whom, and by what means this purported misrepresentation was made. Plaintiff argues that the failure to plead the exact timing of events is critical, because Defendant Liu admits that Plaintiff served two separate terms as CEO of the Company. Given this, there would logically be an intervening period in which the responsibility of obtaining a cannabis license for the Company would have fallen on others. Without this chronological explanation, Defendant Liu cannot demonstrate that Plaintiff's representation was false.

Next, regarding Plaintiff's second count for fraud in the Fourth Cause of Action, Defendant Liu merely alleged that Plaintiff closed the Company without the approval of the shareholders or directors. (Cross-Compl. ¶ 42.) Plaintiff argues that just like above, there is no specific facts indicating how, when, where, to whom, and by what means any representation, if any, was made.

In opposition, Defendant Liu argues that he should be exempt from the general fraud specificity pleading requirements because the facts lie more in the knowledge of Plaintiff, as the CEO of the Company.

In general, the requirement of specificity is relaxed when the allegations indicate that "the defendant must necessarily possess full information concerning the facts of the controversy"

(*Bradley v. Hartford Acc. & Indem. Co.* (1973) 30 Cal.App.3d 818, 825, *disapproved on another ground in Silberg v. Anderson* (1990) 50 Cal.3d 205, 212-13), or alternatively, “when the facts lie more in the knowledge of the opposite party[.]” (*Turner v. Milstein* (1951) 103 Cal.App.2d 651, 658.)

However, Defendant Liu alleges that the misrepresentation regarding the cannabis license was made “to all shareholders” (Cross-Compl. ¶ 13), including Defendant Liu himself. Therefore, it is not sufficiently demonstrated that Plaintiff had superior knowledge regarding the timing, location, manner of communication, etc., of this misrepresentation. Furthermore, Defendant Liu also fails to specify how, when, where, to whom, and by what means any representation regarding the unauthorized dissolution was made.

Therefore, the Court SUSTAINS Plaintiff’s demurrer to the Second, Third, and Fourth Cause of Action for Fraud and Negligent Misrepresentation, with leave to amend.

C. Fifth Cause of Action – Breach of Fiduciary Duty

“The elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach.” (*O’Neal v. Stanislaus County Employees’ Retirement Assn.* (2017) 8 Cal.App.5th 1184, 1215.)

Plaintiff argues that Defendant Liu’s breach of fiduciary duty claim is also insufficiently pled for the same reason as discussed above in Defendant Liu’s fraud claims. Specifically, without a specific chronology of events, it cannot be determined whether Plaintiff committed a breach of fiduciary duty. Without any allegations as to when the cannabis license renewal application was due, whether Plaintiff was responsible for submitting it at the time, whether an application was in fact submitted, or when any permit expired, there is no basis to establish that Plaintiff committed any breach.

In opposition, Defendant Liu argues that the mere allegation that Plaintiff unilaterally shut down the business without board approval and failed to properly account for corporate assets is sufficient to state a claim for breach of fiduciary duty. While these allegations are sufficient in respect to the corporate dissolution allegations, this argument does not address Plaintiff's arguments that the separate breach alleged in the Cross-Complaint pertaining to the cannabis license renewal is insufficiently pled.

Therefore, the Court SUSTAINS Plaintiff's demurrer to the Fifth Cause of Action for Breach of Fiduciary Duty, with leave to amend.

III. CONCLUSION

Plaintiff's demurrer to the First Cause of Action for Involuntary Dissolution, the Second, Third, and Fourth Causes of Action for Fraud and Negligent Misrepresentation, and the Fifth Cause of Action for Breach of Fiduciary Duty, is SUSTAINED WITH LEAVE TO AMEND. IT IS SO ORDERED.

Dated: _____

[TENTATIVE – NOT FINAL]
Hon. Joseph B. Widman
Judge of the Superior Court